RX INTERVIEWS

NETWORKING QUESTIONS TO ASK

RESTRUCTURINGINTERVIEWS.COM
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INTRODUCTION

If you have already gone through the rest of the course, you'll be glad to see this report isn't nearly as long as everything else!

Since the *RX Interviews* course has been released, I've had a few people reach out asking for help with networking questions.

…It never occurred to me when I initially created the course to include anything on networking, but it's actually probably a good idea to do so.

This little report will briefly go over a few different things.

First, it'll give some general "ground rules" for networking. Of course, networking in RX isn't wildly different than in any other area of finance. However, there are a few things to keep in mind.

Second, I've put together some networking questions that I think would be impressive to hear someone ask. You'll notice that these questions largely adhere to the ground rules I've laid out (most importantly, they are trying to draw out opinions from the person you're networking with, not asking questions that can be answered definitively).

When networking in RX you want to fundamentally do two things:

1. Show you understand what RX actually is in practice (without seeming like a keener or a gunner or whatever term you want to use)
2. Show you are someone the person you're networking with would actually want to work with

Threading this needle can be a bit difficult. However, hopefully the ground rules and questions provided illustrate what I'm getting at.

NETWORKING RULES

- **Rule #1: Don't Ask Technical Questions**

No one wants to get on a networking call and then feel like they're in a deposition.

You shouldn't be asking technical questions in a networking setting. How I would define a technical question would be any question that has a definitive answer you could find in a textbook (e.g. don't ask how they think about DTLs in the context of a restructuring).

♞ Rule #2: All Questions Should be Seeking an Opinion

Everyone wants to feel like their opinion is valued and respected (and as a junior banker it isn't often, so it's a nice change of pace!).

Your questions should try to make them *think* about their answer. For example, asking them if they are on both creditor-side and debtor-side deals at the moment and then if they find switching between creditor-side and debtor-side deals difficult to do throughout the day is a great question.

There's no objective answer here, of course. Some will find switching between both types of deals to be a pain as the work can be quite different. Others will find it to be a nice change of pace as it breaks up their day.

This question is simply asking their opinion while making it clear (implicitly) that you understand that there are debtor-side and creditor-side restructuring deals and that the work done on each side is a bit different.

♞ Rule #3: Show Off Your RX Knowledge Implicitly

An objective of yours, as mentioned above, is to show you understand what RX really is all about in practice.

However, at the same time you don't want to come across as someone who is a keener or gunner or whatever you want to call folks who are obsessed with banking.

The way you can do this is by asking questions that implicitly show your understanding of RX. The question in "Rule #2" is a great example of this.

You implicitly demonstrate that you understand the distinction between creditor-side and debtor-side work and that each requires a bit of a different mindset, while asking for their opinion on how easy it is to context switch between them.

In this question you're showing your contextual understanding of RX while making them give an opinion. That's what you want to aim for.

♞ Rule #4: Understand the Downsides

A major mistake folks make during networking is coming across a little too eager. The reality is everyone in banking ends up being a bit jaded and you should appreciate that before getting on the phone with anyone.

Just because a banker is jaded doesn't mean they regret doing banking and wish they worked at a non-profit somewhere, of course. But it does mean that when they talk to someone who comes across as being very enthusiastic about banking it can be a turnoff (especially if you can't convince them you understand what RX banking really is all about).

I always think that the best networkers demonstrate an interest and understanding of RX, seem like a fun person to be around, but also are sensitive to the realities (including the downsides) of the job.

This latter point can be done in a gentle way by asking questions about some of the downsides of restructuring banking, which we go over in the course.

Obviously, RX is the best place to be in banking - in my slightly biased opinion - but there are nevertheless downsides.

Many are terrified of ever bringing up downsides to being in banking (whether that's in M&A or RX) during networking. Obviously, you have to read the room when discussing the downsides of banking. Some people you're talking to may not want to talk about them.

However, I think it shows maturity and seriousness when a candidate briefly wants to talk about the downsides of banking. It shows you are under no illusion that banking is a bed of roses and will make all your dreams come true.

Ironically those who don't come into banking wearing rose-tinted glasses tend to be those who enjoy banking the most as there isn't the same level of cognitive dissonance that occurs when you begin.

- **Rule #5: Be Humble and Self-Deprecating**

One of the best things about restructuring is that there is constant innovation in the types of deals that are done (within reason, of course, since everything in finance is somewhat based on precedence).

A great way to stand out is to show you roughly understand some of these new types of deals while asking for their *opinion* on whether they think more of these types of deals will occur.

However, you need to be careful here. Deals in restructuring are complicated and the person you're speaking to will obviously know much more about them than you do.

So, you want to always use humble and self-deprecating language when discussing anything in RX that is quite complicated. You don't want to suddenly get a bunch of follow-up questions asking how much you *really* know about these types of deals.

An example of a great question would be around IP transfers, which was most famously done by J. Crew in 2017 (and has been done by quite a few large brands since).

The right way to ask this kind of question would be as follows:

"One thing I've found fascinating are these IP transfers that have occurred, which appear to have started with J. Crew in 2017. Obviously, they're very complicated and I can't confess to really understanding exactly how it all works, but I was wondering if you still talk about IP transfers in some debtor-side pitches or have a lot of the loopholes that allowed for J. Crew to do this been closed in the past few years?"

A question framed this way is fantastic, in my view. It asks for an opinion and shows a relatively advanced understanding of what's been happening in RX.

At the same time, the person you're speaking to will appreciate your humility and self-depreciation; not pretending like you actually understand all the nuances of IP transfers or how they operate.

I can't stress how important it is to use humble and self-deprecating language. It doesn't show weakness, it shows you understand that RX is complicated and that there's likely a lot you do not yet know.

- **Rule #6: Don't Overstay Your Welcome**

It's better to cut off a call a little too soon than to overstay your welcome. The sweet spot is likely 20-30 minutes.

You want to leave on a high note. It's always a good idea to say something like this prior to your final question:

"I really appreciate you getting on this call, and I know how busy you are, so I don't want to take up too much of your time, but I just had one final question…".

NETWORKING QUESTIONS

During networking you always will need to read the room a bit. Although folks in RX tend to be a bit nerdier, and thus like talking about RX, some may just want to talk about college-life, sports, etc. for part of the call.

Play along and don't try to cram in these questions if the conversation doesn't flow that way.

You also shouldn't feel like you need to stick to some script where you *need* to ask many of these questions or those you've created yourself. Like I said, you need to read the room and if the conversation develops down a different path than just go along.

With all that being said, I would recommend having 5-7 questions printed out or memorized that you plan to ask. This will ensure that you don't get 10 minutes into the conversation and have nothing else to ask. However, if you don't get to all the questions you planned to ask don't worry about it.

Networking all comes down to leaving a positive impression and trying to do the two things I listed in the introduction (show you know what RX is all about and show you're someone they'd potentially enjoy working with).

1. "Are you finding a lot of your work is focusing on out-of-court solutions - relative to prior to the pandemic - or is it roughly the same blend of out-of-court and in-court work?" "Why do you think that is?"

2. "Do you think now is actually an ideal time to try to do creative out-of-court work - even if the company isn't near the precipice, so to speak - because of just how active the debt markets are now?"

3. "Do you feel like the Fed's actions in the high yield space have affected the companies you've been keeping an eye on? Or is it the case that the companies you've been looking at in your screens and profiles are too heavily distressed already to avoid restructuring even in these tight markets?

Reference: https://www.wsj.com/articles/fed-stimulus-is-resuscitating-the-high-yield-bond-market-11597438798

4. "I've read that the most prominent RX firms have actually been having to turn down mandates; do you see the RX pipeline as being more or less at capacity for the next number of years? Or do you think things will quiet down quite a bit within the year?"

5. "What do you think makes a great RX [analyst / associate]? Do you think it's substantially different than what makes a great M&A [analyst / associate]?"

6. "When thinking about the best restructuring solutions for a company, do you pay close attention to who holds the likely impaired classes? So, for example, if you see a more activist hedge fund in there does that change fundamentally change your calculus?"

7. "When you're looking at a company does the restructuring solution that best suits them often appear to be quite obvious? Or do you often feel there are a number of different strategies - that could all work roughly equally well - that you need to choose between?"

8. "Do you prefer dealing with sponsors [PE firms that own a company in distress] as opposed to those owned independently? Do you find they generally 'get' what their options are more or are they perhaps a bit more intransigent than regular companies?"

9. "I've heard some people suggest that Covid has caused such a sharp disruption that it has essentially pulled forward restructurings that would have likely occurred in 2021-2022. Do you think this is largely the case? If so, do you think that once current activity

dies down, RX may actually become a bit quieter in, say, 2022 and 2023? Or do you think it's impossible to really forecast RX activity a few years out?"

10. "Generally speaking, what is the division of your time on a day-to-day basis between creditor-side and debtor-side work? Do you have a preference for one of them?"

11. "Do you find flipping back and forth between debtor-side work and then creditor-side work to be draining? Or is going from debtor-side to creditor-side work multiple times a day almost a nice break for you?"

12. "Since you've been working more on creditor-side arrangements, do you feel like you've developed a different perspective on how creditors - in particular the hedge funds who are commonly in the mix in different scenarios - approach restructuring? As opposed to when you were mainly dealing with them from across the table on debtor-side mandates?"

13. "When working on debtor-side mandates, have you found that the term sheets for new money issuances have evolved at all during COVID? Are those - like the credit arms at PE funds - allowing more loose term sheets with lighter covenants? Or are the term sheets largely the same and they're just willing to lend when they wouldn't have before or at better terms [rates]?"

14. "Do you find working on debtor-side mandates for companies that are sponsor-backed vs. traditional companies to be fundamentally different at all? In other words, when dealing with sponsor-backed companies is it a more streamlined process or largely the same as with a traditional non-sponsor backed company?"

15. "Is there one company out there that's in distress - or approaching distress - that hasn't engaged advisors that you'd really like to work on?"

16. "Is there one industry that you haven't dealt with much, but that you'd really like to get exposure to? If so, why?"

17. "Are there certain kinds of restructuring solutions you find really interesting to work on? Obviously, I'm not an expert on any of this, but I've found reading about IP transfers, like what J. Crew did, to be really interesting. Also, the Uptier done by Serta Simmons."

- Good, quick retrospective overview of what J. Crew did: https://www.torys.com/insights/publications/2019/05/the-j-crew-trap-door-and-its-implications-for-the-future-of-leveraged-finance

- Quick podcast on Serta Simmons from Reorg; definitely subscribe to their podcast (it's free) if you're interested in this stuff: https://player.fm/series/reorg-ruminations/covenants-the-proliferation-of-serta-simmons-super-priority-uptier-exchange-sept-29-2020

18. “Obviously I’m not an expert here, but it seems like after J. Crew’s IP transfer many large brands followed suit. Is looking at IP transfers still something you bring up in pitches for some debtors, or are some of the loopholes that allowed for J. Crew to do this now closed?”

Good article here from DebtWire showing how after J. Crew did their IP transfer, others began to look at it too: https://www.debtwire.com/info/legal-analysis-revlon-could-pull-jcrew-style-ip-transfer-less-litigation-exposure

DEALS AND BACKGROUND READING

Below are some links to notable deals that have occurred in the RX space in recent years. There’s no need to go through all of these if you don’t have time. However, if you’re interested in RX these will give you a feel for some of the more interesting, esoteric stuff that’s been happening over the past few years.

I’d avoid asking someone you’re networking with about specific deals that their bank hasn’t worked on and how they think about them. If they aren’t up-to-speed on them, or they just aren’t interested in talking about details, it’ll be a bit of a turnoff. It’s better to ask about broader themes or trends, some of which are discussed much more fully in the Serta guide in the members area.

- If you don’t read *Money Stuff* by Matt Levine, you should. It’s a free daily newsletter where Matt talks about, well, anything finance-related really. Occasionally Matt will write about distressed debt stuff and it’s always good. Here he is on Serta / Apollo:
  - https://www.bloomberg.com/news/newsletters/2020-07-10/money-stuff-mattress-company-stiffs-some-lenders
- Another quick Bloomberg piece of Serta, which shows why it was a contentious restructuring and a novel spin on an old form of restructuring (uptier transactions)
  - https://www.bloomberg.com/news/articles/2020-07-09/apollo-s-debt-lawsuit-defeat-to-reshape-wall-street-risk-models
- Piece by Bloomberg here on J. Crew’s IP transfer. If you’re interested, many, many articles have been written on what J. Crew did.
  - https://www.bloomberg.com/news/articles/2019-06-17/in-finance-j-crew-is-a-verb-it-means-to-stick-it-to-a-lender
- Incora was one of the more creative cases of 2022, and I wrote a rather lengthy blog post on it. Additionally, non-participating noteholders filed a suit that delves into the details of the case.

  - https://restructuringinterviews.com/blogs/restructuring/incora-restructuring-uptier-exchange-transaction

  - https://iapps.courts.state.ny.us/nyscef/ViewDocument?docIndex=pbqsSYn9V40JFyBb9L83QQ==

- Another trend surrounds the Texas Two Step strategy – still hotly debated and litigated – which I also wrote a rather lengthy blog post on:

  - https://restructuringinterviews.com/blogs/restructuring/texas-two-step

- Also, be sure to look at the sell-side research that I try to keep updated in the members area just so you're up-to-date on what's happening in credit more broadly, where default rates are, etc.

CONCLUSION

There's no need to overthink your networking questions. Don't try to get too clever by asking obscure questions or trying to show off too much.

Hopefully these questions give you a feel for what strong networking questions look like. They all are aimed at getting the person you're speaking with to give their opinion (since everyone likes to opine on what they think).

Ultimately, you want to demonstrate that you have a reasonable understanding of what RX is all about – thus demonstrating you'd perform well in an interview if given one – but at the same time you want to come across as likeable.

If the person you're speaking with seems totally uninterested in talking about work and just wants to blow off steam by talking primarily about college or sports or whatever then go with the flow. You can always network with others and ask more of these type of questions to them.

Also, you should try creating some of your own networking questions in a similar vein to what I've done here. It's good practice!